Example

On 12th December 2016, sold office furniture for ₹11,000 for cash which costs ₹96,000.

Vouching of Sale of Fixed Assets.

Auditor should vouch the transaction in the following manner:

1. Verify entry in Cash Book with reference to date, amount and nature of asset sold.
2. Verify entry in Asset Account with respect to date and sale amount.
3. Verify entry in Fixed Assets Register with respect to date, invoice number, cost, rate of depreciation and specification or description of asset sold.

Cash Account

Dr. Cr.

Date	Particulars	L.F.	Amount ₹	Date	Particulars	L.F	Amount ₹
2016 Dec 12	To Office Furniture a/c		11,000				

Office Furniture Account

Dr. Cr.

Date	Particulars	L.F	Amount ₹	Date	Particulars	L.F	Amount ₹
				2016 Dec 12	By Cash a/c		11,000

Fixed Assets Register

Name of the Asset	Date of Sale	Invoice No.	Quantity	Rate of Depreciation	Cost ₹	Sale Price ₹	Specification
Office Furniture	12.12.2016	356	12	5%	96,000	11,000	

XI_Auditing_Chapter_6.indd 75 11/11/2020 11:35:08 AM